

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$107.08 ▼ 2.21%	12M Price Target \$135.00	52-Week Range \$63.52 – \$153.56	Market Cap \$96.28B
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HOOD: Profit-Taking After Run, Crypto Policy Still Tailwind

WHAT HAPPENED

- HOOD dropped 2.2% today, extending a four-day slide from \$114 to \$107 — this looks like profit-taking after a huge run, not a fundamental break. The stock sits at 48% of its 52-week range, so plenty of folks who bought lower are locking in gains.
- But here's the tell: options flow is screaming bullish — call buyers are stacking into October \$106-108 strikes at 7-36x normal open interest (meaning traders are buying bets the stock goes UP at way higher volume than usual). Smart money is treating this dip as a buying opportunity.

WHY IT MATTERS

The pullback is happening while the sector backdrop is actually improving — Financials ETF is up 1.5% this week and Energy is ripping, which usually signals risk-on sentiment that HOOD benefits from. The real story is that unusual call buying into near-dated strikes suggests institutional traders expect a bounce within weeks, possibly tied to Q3 earnings in early November where crypto revenue is likely to blow out again. With the Trump administration's pro-crypto stance (CLARITY Act progress, SEC dropping cases, prediction market greenlight), HOOD is one of the clearest policy-tailwind plays in fintech. This dip is likely noise, not signal — unless Bitcoin craters.

POLICY & POLITICAL WATCH

Three live policy wins for HOOD right now: (1) the CLARITY Act (crypto market structure bill) is advancing in the Senate — if it passes, HOOD's crypto business gets regulatory certainty and likely expanded product offerings, (2) the SEC under the current administration has effectively greenlit prediction markets (HOOD acquired Bitstamp and launched event contracts), and (3) the push toward tokenized equities — HOOD is already rolling this out in Europe and lobbying hard for US approval. The regulatory environment went from hostile under Gensler to actively friendly — that's a structural re-rating catalyst, not a one-time pop.

IS IT EXPENSIVE?

At ~\$96B market cap on roughly \$4.8B of expected 2026 revenue, you're paying about \$20 for every \$1 of sales — that's rich versus traditional brokers like Schwab (around \$7) but cheaper than Coinbase on growth-adjusted basis. Forward P/E of ~58x (meaning \$58 for every \$1 of next year's profit) requires HOOD to keep compounding earnings 40%+ — doable if crypto volumes hold and prediction markets scale. Not a bargain, but the policy tailwinds and product expansion justify the premium if you believe the regulatory shift is multi-year.

WHAT COULD GO WRONG

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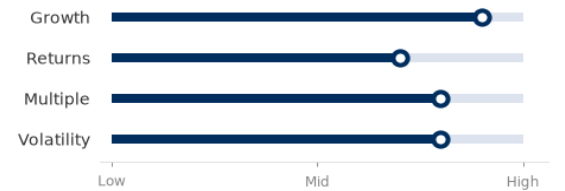
AI-Generated Pre-Market Brief | 2026-10-08 19:05 UTC

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Key Data

Price (USD)	\$107.08
12M Price Target	\$135.00
Upside / (Downside)	+26.1%
Market Cap	\$96.28B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	57.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$120.00	\$110.00	\$98.00
6 Months	\$145.00	\$125.00	\$90.00
1 Year	\$175.00	\$135.00	\$85.00
2 Years	\$220.00	\$160.00	\$75.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$340.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3% today) and Staples catching bids — likely a defensive-plus-inflation hedge rotation as oil firms up. Financials grinding higher on steepening yield curve and deregulation momentum.

COOLING OFF: Tech-heavy growth names taking a breather after a strong Q3; the AI trade is consolidating rather than breaking.

ROTATION WATCH: Money is rotating slightly away from high-beta growth (where HOOD lives) into cyclicals and energy — that's the near-term headwind pressuring HOOD this week, but it's a rotation, not a de-rating.

RELATED PLAY: If HOOD's crypto/prediction market thesis works, the second-order plays are COIN (direct crypto beneficiary), CME (prediction market infrastructure), and even Nasdaq exchanges — anyone touching the plumbing of tokenized assets.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto-regulatory tailwind as HOOD; often leads HOOD on crypto-policy news.
- SOFI (SoFi): Benefiting from student loan dynamics and the broader fintech re-rating under friendlier regulators.

HOOD CONTEXT: HOOD has been a leader in the fintech cohort YTD but is lagging this week as money rotates. That's typical post-rally digestion — not a signal to bail, more a signal to add on weakness if you don't own enough.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Strong secular setup with real policy tailwinds, but the stock has run hard and valuation requires continued execution. Not pounding the table at \$107, would pound it at \$95.

POSITION SIZE: 2-4% of portfolio — real upside but volatile enough that you don't want it dominating your P&L on a bad crypto week.

ENTRY POINTS: \$100-105 is a reasonable add zone; anything below \$95 is a gift unless something fundamental broke.

TIME HORIZON: 12-24 months — key catalysts are Q3 earnings (November), CLARITY Act vote, and prediction markets scaling into 2026 elections aftermath and sports seasons.

WHEN TO BAIL: Crypto revenue declines >30% QoQ, CLARITY Act dies in committee, or SEC pivots back to enforcement mode under political pressure.

HEDGING: Buy some \$95 puts a few months out as cheap insurance, or pair the long with a short in a weaker fintech peer to isolate the HOOD-specific alpha.